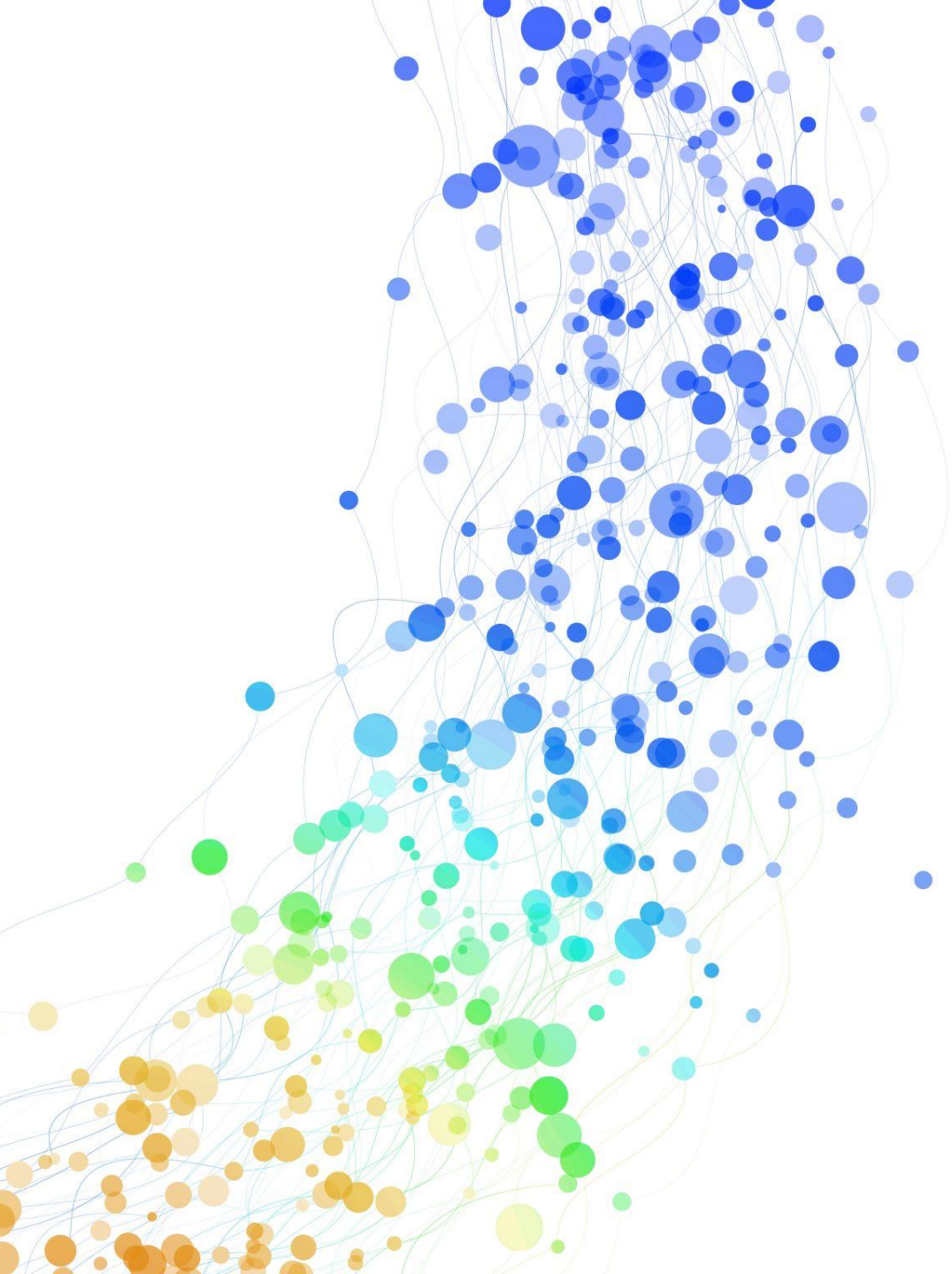




Introduction to Marketing Research and Marketing Management

What is a market?

“Marketing is a societal process by which individuals and groups obtain what they need and want through creating, offering and freely exchanging products and services of value with others.”

“The art of selling products”



Definition of Marketing

According to American Marketing Association

"Marketing is the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients,

What is marketed?

Goods

Services

Events

Experiences

Persons

Places

Properties

Organizations

Information

Ideas

Functions of Marketing

- + Market research
- + Financing
- + Product/Service Management
- + Pricing
- + Promotion
- + Distribution
- + Selling

Marketing process

- + Market Opportunities analysis
- + Selection of target market
- + Marketing mix development
- + Marketing efforts management

Marketing & Selling

Marketing	Selling
Includes selling and other activities like various promotional measures, marketing research, after sales service, etc.	Confined to persuasion of consumers to buy firm's goods and services
Planning is long-term oriented in terms of new products, future market and growth	Planning is short-term oriented, in terms of existing products and markets
Concerned with customer satisfaction	Concerned with maximization of sales & profit
Adding value to customers by adopting new & relevant technology	To reduce cost, confines with existing technology
Customers are starting point of business	Customers as the last link in the business
Emphasizes given to Customer	Emphasizes given to sales
Examples: Automobiles, Mobile phones, Domestic appliances, Airlines...	Examples: Insurance, Door to door sales..

Core Marketing Concepts

- Marketers and Prospects
- Needs, Wants, and Demands

Type of Needs



- Segmentation (S)
- Target market (T)
- Positioning (P)

(STP)

- Offerings and Brands
- Value and Satisfaction
 - Customer value triad (qsp)

Value

$$= (\text{Functional benefits} + \text{Emotional benefits}) / (\text{Monetary costs} + \text{Time costs} + \text{Energy costs} + \text{Psychic costs})$$

Core Marketing Concepts

➤ Relationships and Networks

- Relationship marketing
- Marketing network

➤ Marketing Channels



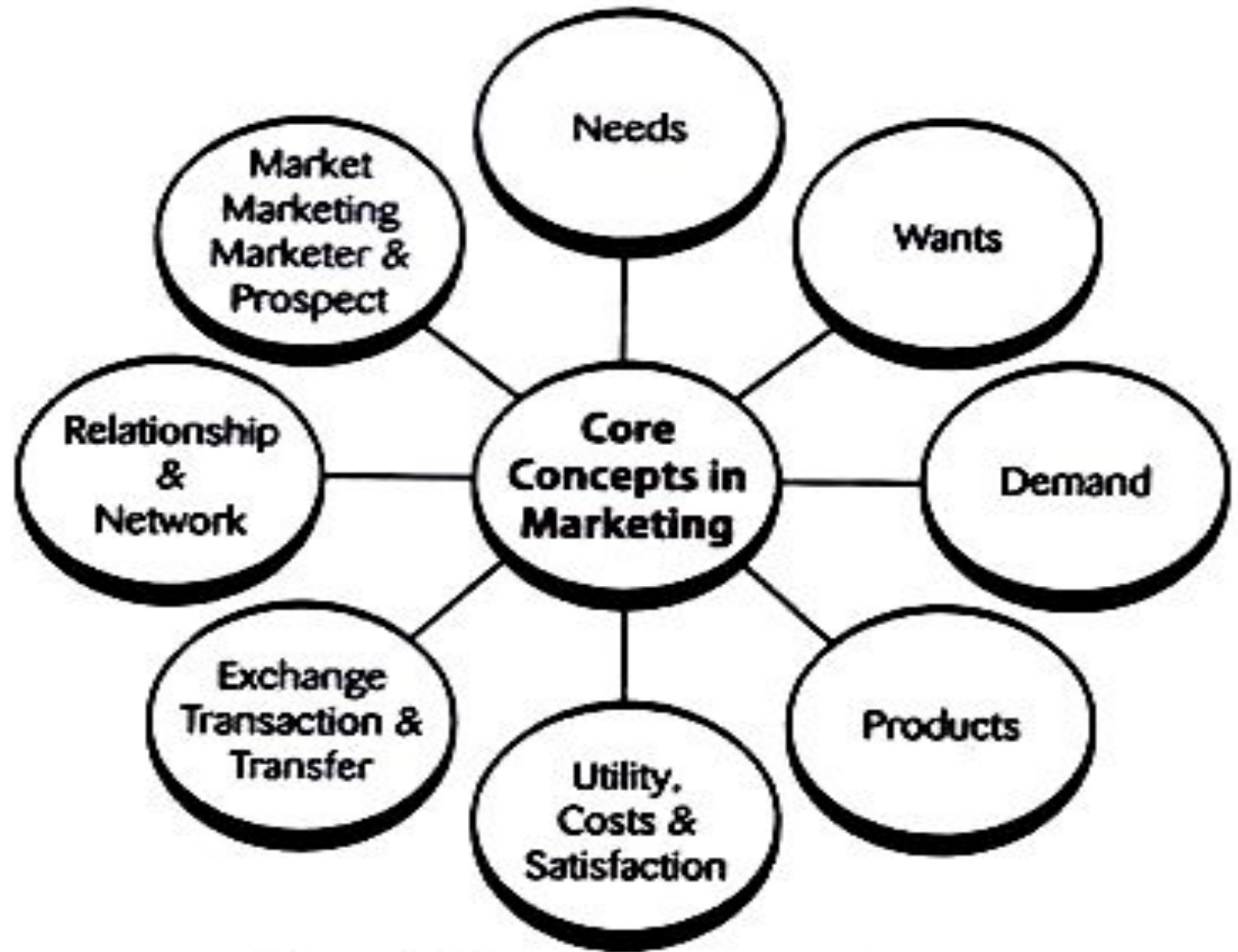
- **Impressions:** occur when consumers view a communication
- **Engagement:** the extent of a customer's attention and active involvement with a communication

Core Marketing Concepts

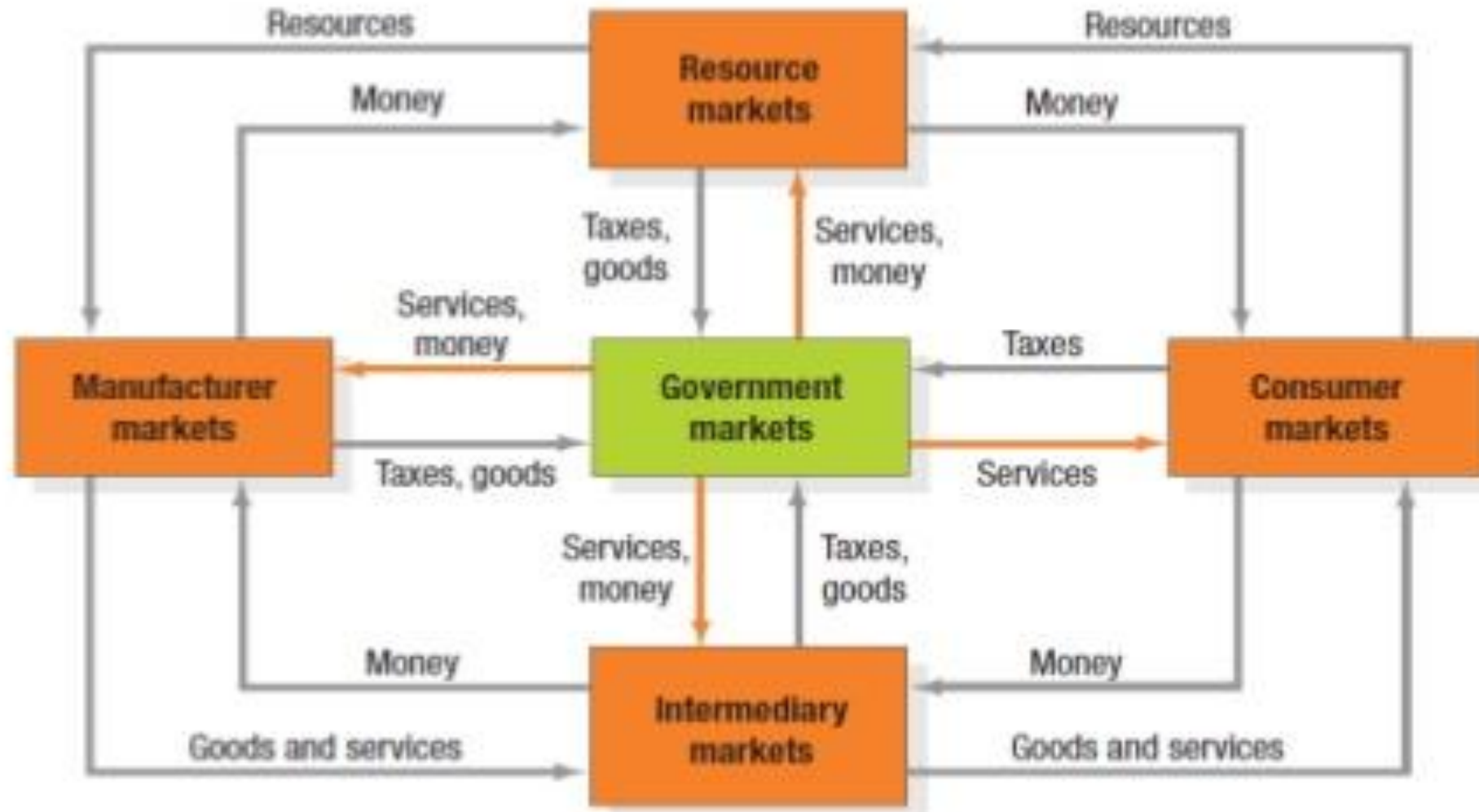
- **Paid media:** TV, magazine and display ads, paid search, and sponsorships
- **Owned media:** a company or brand brochure, web site, blog, Facebook page, or twitter account
- **Earned media:** word of mouth, buzz, or viral marketing



Core Marketing concepts



Structure of Flows



How Do Consumers Choose Among Products and Services?



Customer Value - benefit that the customer gains from owning and using a product compared to the cost of obtaining the product.



Customer Satisfaction - depends on the product's perceived performance in delivering value relative to a buyer's expectations.





1. **PRODUCTION CONCEPT**: It centred on the fact that a seller will only sell a product which has been manufactured irrespective of the needs of the consumers.
2. **PRODUCT CONCEPT**: It focuses on a single product manufactured for the consumers without much attention being paid on the requirements of individual customers.
3. **SALES CONCEPT**: It focuses on the needs and wishes of the seller , which means the seller would decide what actually does the customer needs.

These approaches were much against the needs of customers , and against the consumer interest. So very soon these lost their relevance and a new approach came into existence , popularly known as the CUSTOMER ORIENTATION PHILOSOPHY.

- + 4. **CUSTOMER CONCEPT**: The focus of this approach is to ensure customer satisfaction through ensuring the delivery of most adequate product which well conforms to the customer needs.
- + 5. **SOCIETAL CONCEPT**: The concept which focuses on ensuring present consumer satisfaction alongwith long term social welfare.

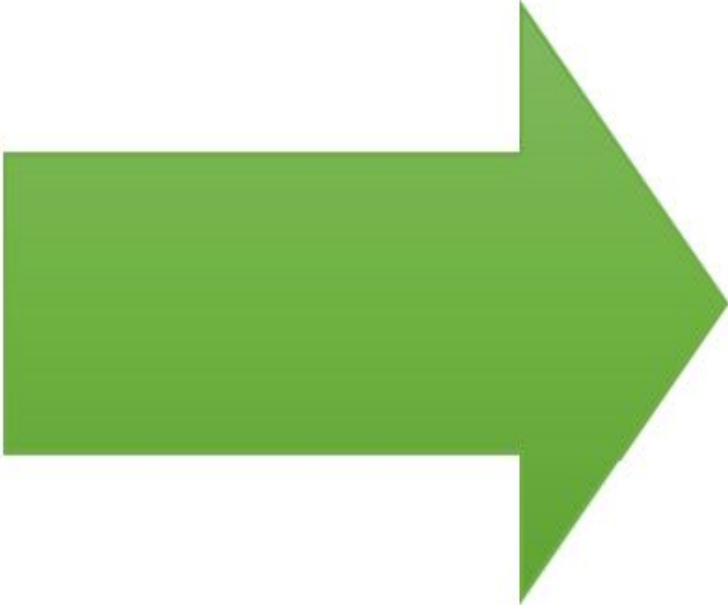


4Ps of Marketing Mix



Marketing Mix



4Ps	Marketing Mix	4Cs
Product		Customer Value
Price		Cost
Place		Convenience
Promotion		Communication

How business and marketing are changing?

- + *Reengineering*
- + *Outsourcing*
- + *E-commerce*
- + *Benchmarking*
- + *Alliances*
- + *Partner–suppliers*
- + *Market-centered*
- + *Global and local*
- + *Decentralized*

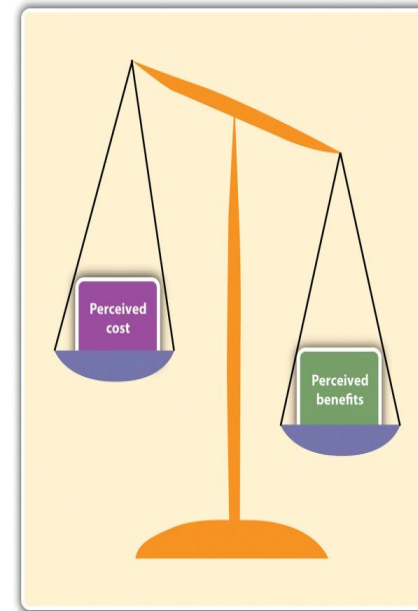
Customer Value, Satisfaction & Loyalty

How to connect with customers?

Creating Long-term

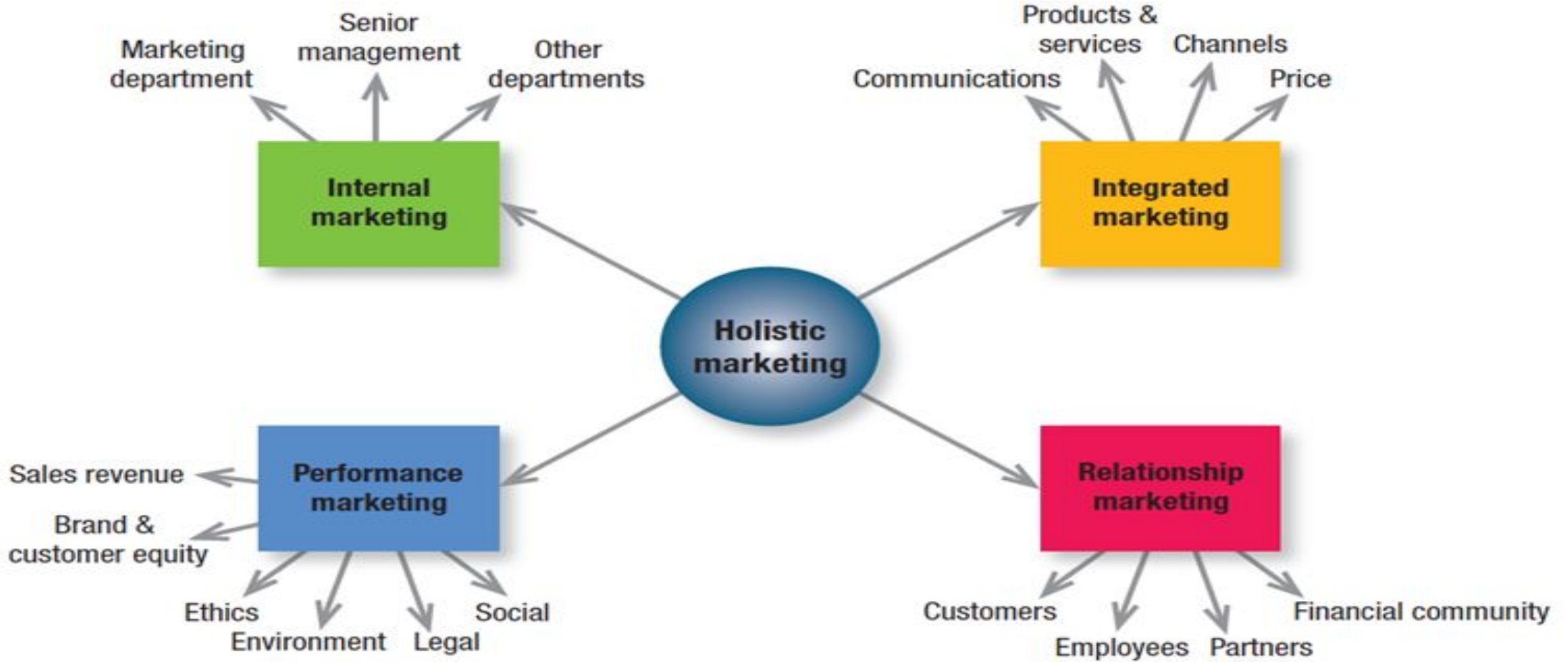


Customer-perceived value (CPV)



How to determine Customer Perceived Value (CPV)

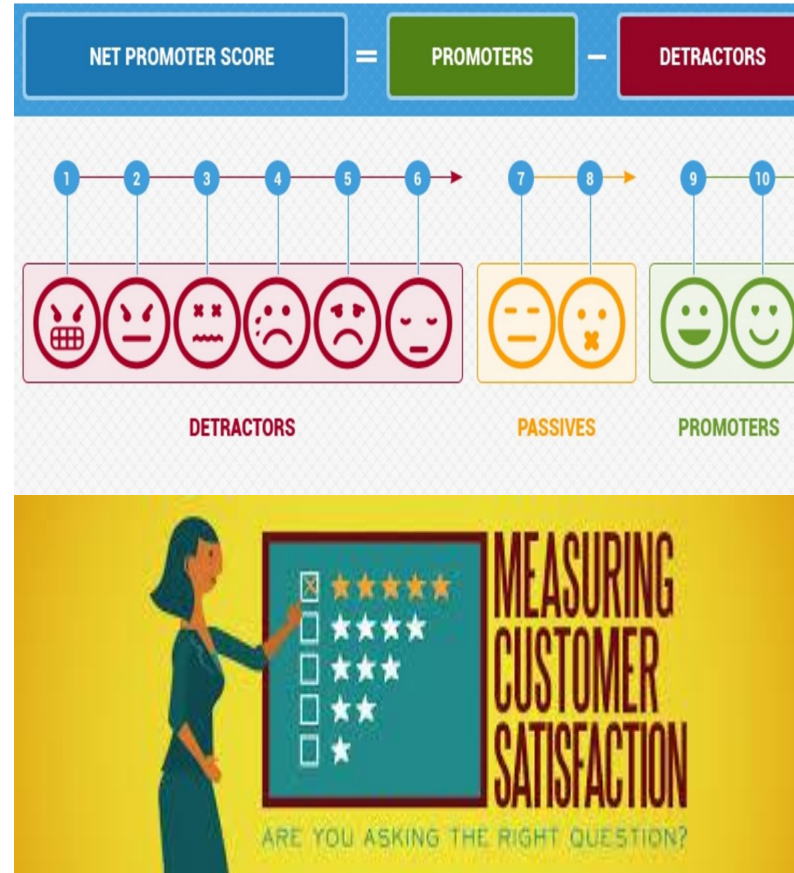




Source: Marketing Management, 15E, Kotler, Keller

Measuring Customer Satisfaction

- + Periodic Surveys
- + Customer Loss Rate
- + Mystery Shoppers
- + Monitor Competitive Performance



How Should Business Markets Be Segmented?

- ✓ Demographic
- ✓ Operating variables
- ✓ Purchasing approaches
- ✓ Situational factors
- ✓ Personal characteristics

Effective Segmentation Criteria

- ✓ Measurable
- ✓ Substantial
- ✓ Accessible
- ✓ Differentiable
- ✓ Actionable

Bases for Segmenting Consumer Markets

+ Market segment

A group of customers who share a similar set of needs and wants

Geographic
segmentation

Demographic
segmentation

Psychographic
segmentation

Behavioral
segmentation

Behavioral Segmentation

- + Needs and benefits
- + Decision roles
 - Initiator
 - Influencer
 - Decider
 - Buyer
 - User



Marketing Environment

- **Task environment (Micro environment)**

-Company, suppliers, distributors, dealers, and the target customers.

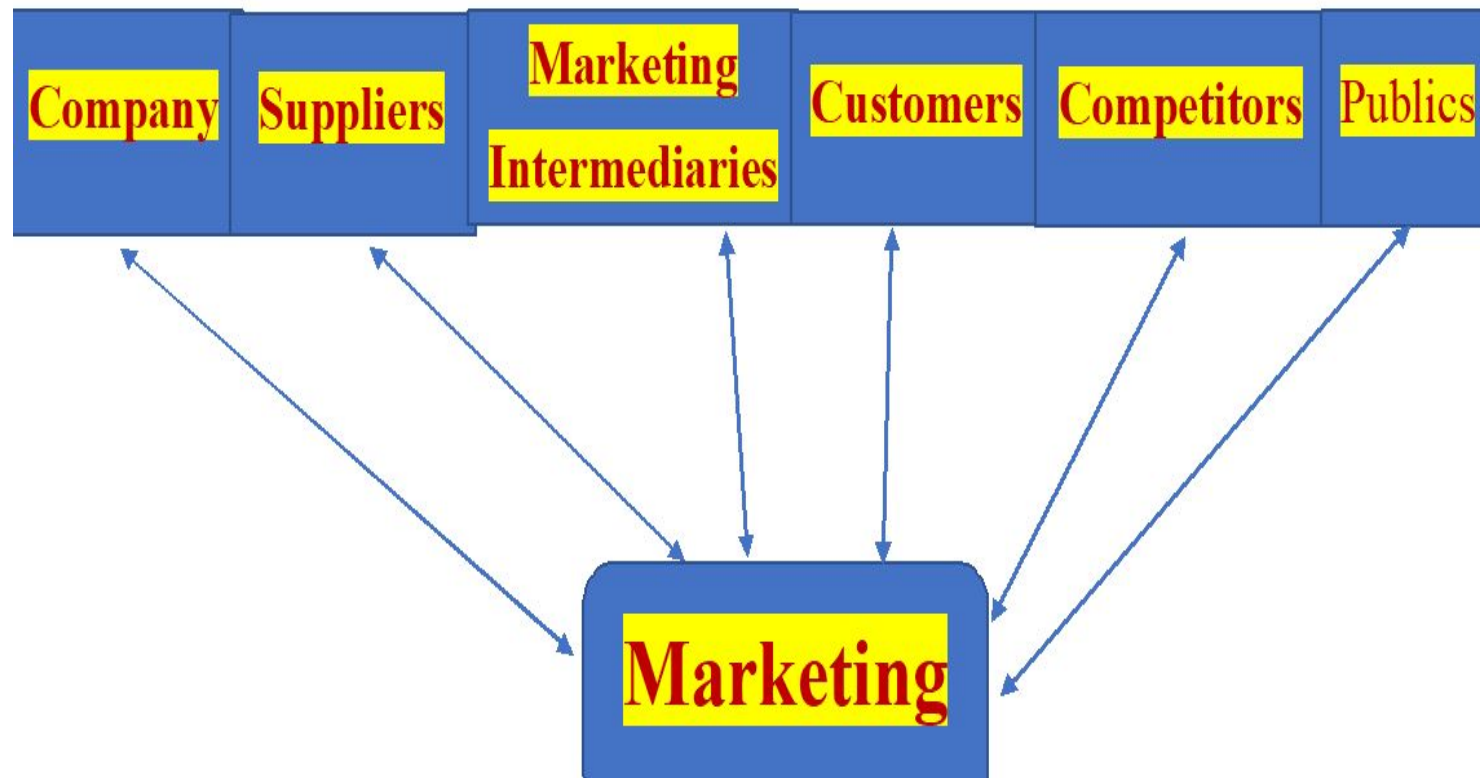
- **Broad environment(Macro environment)**

+ *Demographic , economic, natural, technological , political-legal , and social-cultural environment.*

-PESTEL

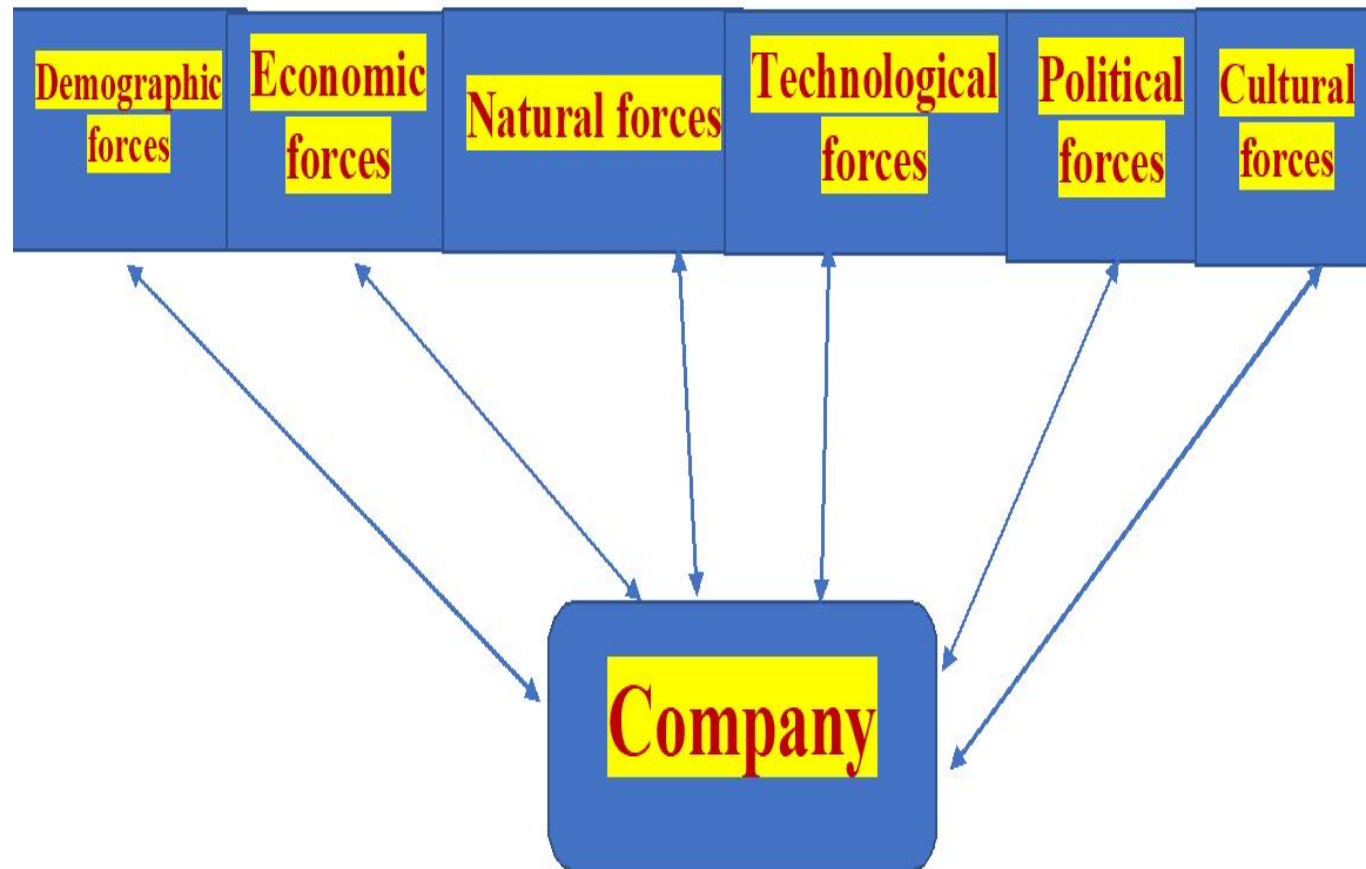
Microenvironment

The **microenvironment** entails the players close to the company that affect the company, suppliers, marketing intermediaries, customer markets, competitors, and publics.



The macroenvironment

The **macroenvironment** consists of the larger forces that affect the company



The Company's Macroenvironment

Technological Environment

- Digital revolution and other main changes in the business environment and marketplace
- Fast change
- Paves the way for new markets and new opportunities
 - Internet
 - Healthcare
 - Compactness
 - Weapons
 - Debit, Credit cards
 - Communication



The Company's Macroenvironment

Political Environment

Political environment entails many organizations and individuals in a particular society influenced or limited by laws, government agencies, and pressure groups .









Services Marketing

"Services are activities, benefits or satisfaction which reoffered for sale or provided in connection with sale of goods"

- The American
Marketing Association



Characteristics of Services



Services Sector in India



Contribution to
GDP (2020-21):



2018-19

2019-20

2020-21

2021-22

Growth in services sector:

7.2%

7.2%

(-) 8.4%

8.2% (expected)

FDI Inflow:
\$**16.73** billion
(In first half
(H1) of 2021-22)

**India's share in world
commercial services exports:**
*It remained among the
top ten services exporter
countries in 2020*

2020 4.1%

2019 3.4%



**Services Sector Share in GDP
at the State and UT Level (2019-20):**

Chandigarh 74%

Delhi 68.22%

Andaman & Nicobar Islands 64.82%

Manipur 59.77%

Meghalaya 58.33%

PRODUCT VERSUS SERVICE

PRODUCT	SERVICE
Products are objects or systems made available for consumer	Services are transactions where no physical goods are transferred from the seller to the buyer
Tangible	Intangible
Products are manufactured, stored, and transported	Cannot be manufactured, stored, and transported
Ex: electronic devices, furniture, food items, and vehicles	Ex: cleaning, car repair, medical check-ups, haircuts, etc.
Can be returned or replaced	Cannot be returned or replaced
Products sold can be identical	Each delivery of a particular service is never exactly the same

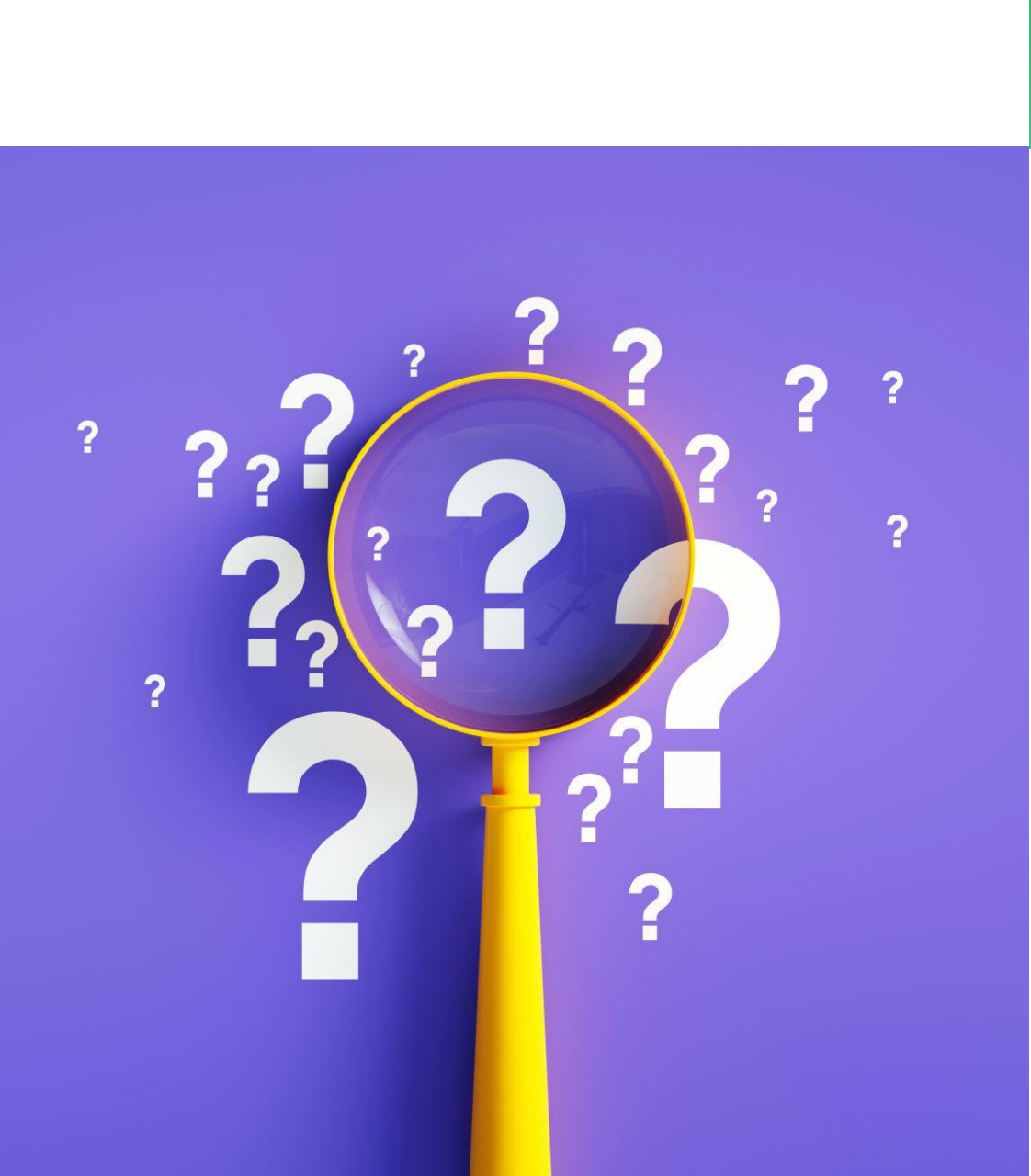


Holistic Marketing



Understanding consumer behaviour





Understanding consumers ...

- How do the consumers perceive the information?
- How do you capture their paying attention?
- What are their needs?
- What factors influence them to make purchasing decisions? Are they price, quality, commercial offer, or others?

Points to Ponder

Pay for 3 pieces of 'Liril' and get the 4th free !!!

Buy one 'Harpic' and get an 'Odonil' free !!!

Exchange your Maruti Alto for a Maruti Swift at a Rs 40,000/= discount !!!

Buy 'Fast Track' watches and get 5 different colored wrist-bands free !!!

New LG Television with unique 'Child Lock' feature !!!

Why are such offers given to consumers??

Some more examples.....

'Dar ke aage jeet hai' Mountain Dew

'Pappu Pass ho gaya' Cadbury's

'We also make steel' Tata Steel

'Filmi sitaron ka saundarya sabun' Lux

'Jaago India Jaago' Tata Tea

'Desh ki Dhadkan' Hero Honda

'An Idea can change your life' Idea

How do such slogans impact consumers??

What is Consumer behaviour?

- + According to Louden and Bitta, 'consumer behaviour is the decision process and physical activity, which individuals engage in when evaluating, acquiring, using or disposing of goods and services'.
- + According to Engel, Blackwell, and Mansard, 'consumer behaviour is the actions and decision processes of people who purchase goods and services for personal consumption'.

Factors Influencing Consumer Behaviour

Economic Factors

Personal Income -
Discretionary Income,
Disposable Income

Family Income

Expectations regarding
future income

Liquid assest &
consumer credit

Level of Standard of
Living

Personal Factors

Age

Occupation

Life Cycle Stage

Lifestyle

Personality & Self
Concept

Psycological Factors

Motivation

Involvement

Perception

Learning

Lifestyle

Attitude

Cultural and Social Factors

Culture

Subculture

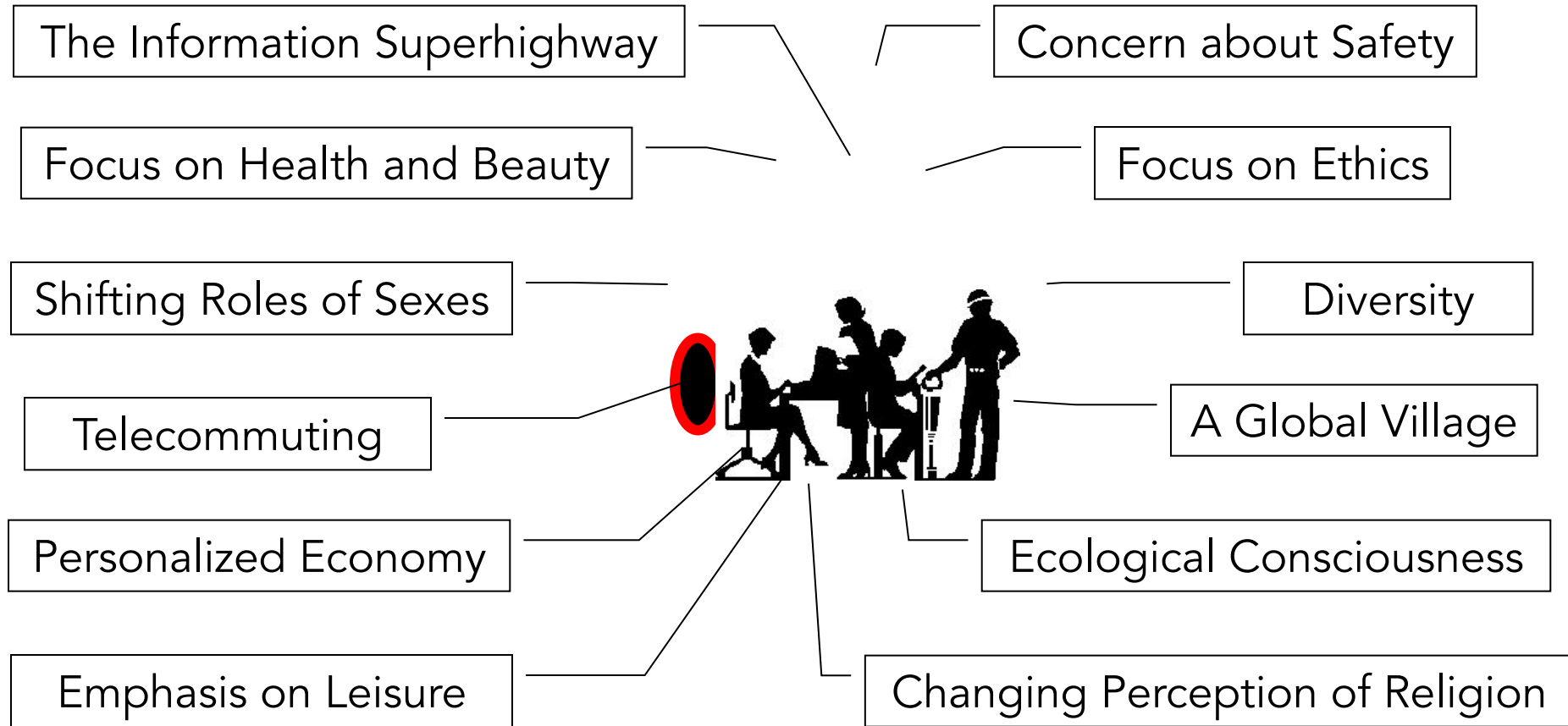
Social Class

Social Groups

Opinion Leaders

Role & Status

Trends influencing consumer behavior in contemporary society

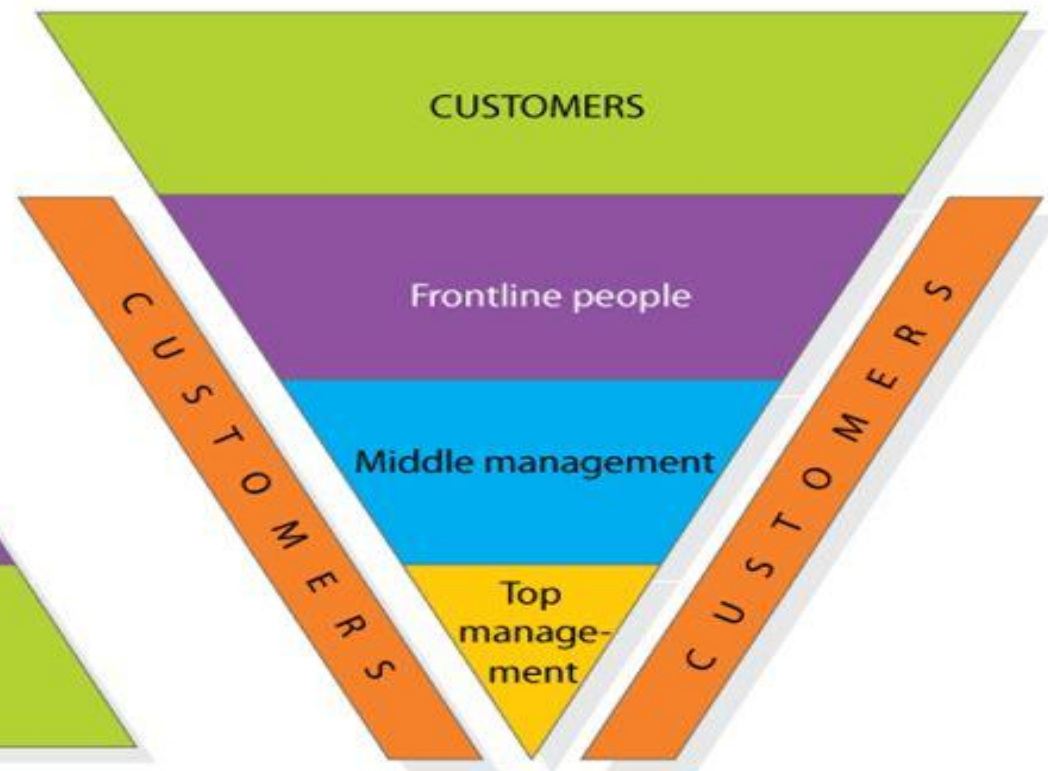


Traditional Organization vs. Customer-Oriented Organization

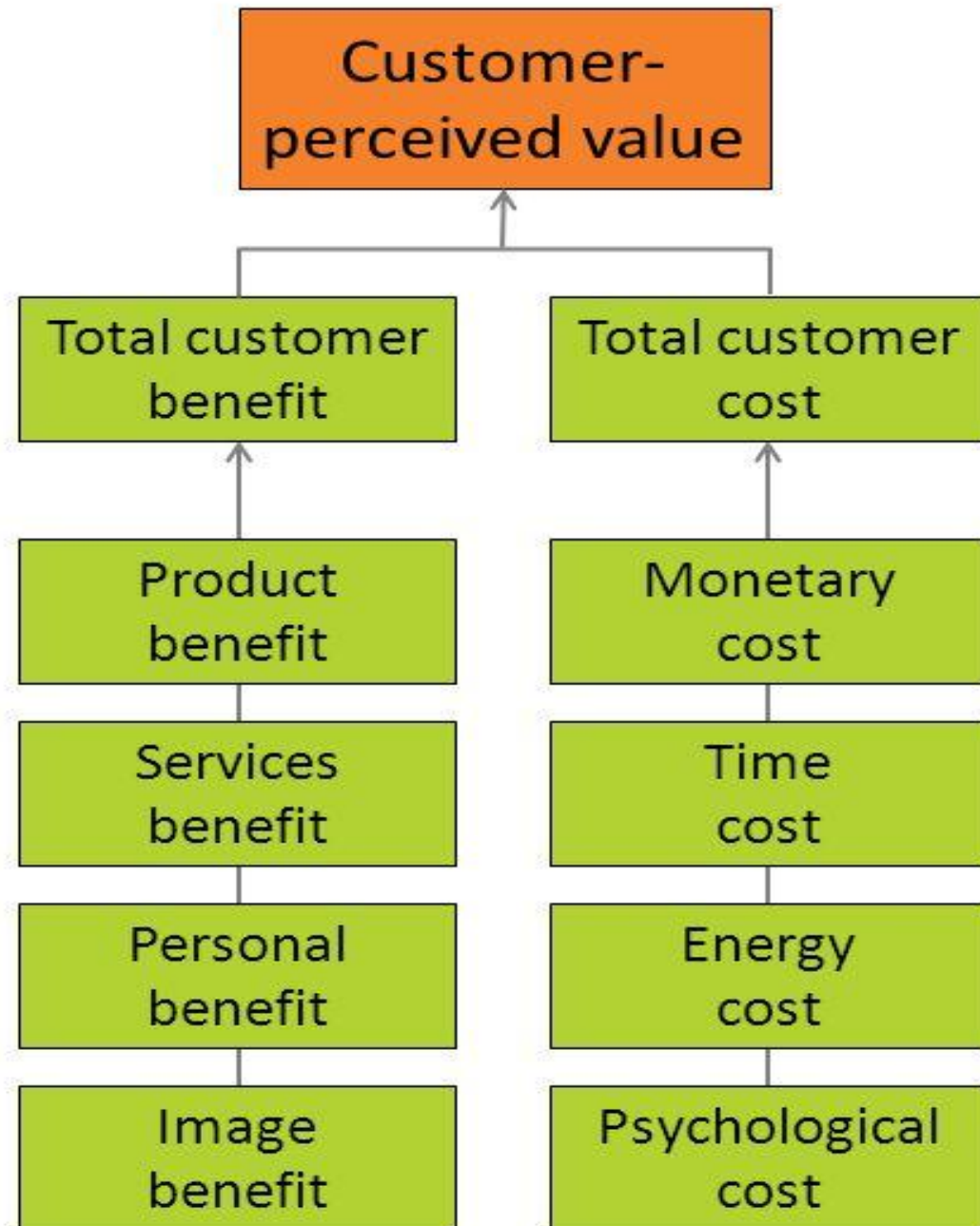
(a) Traditional Organization Chart



(b) Modern Customer-Oriented Organization Chart



Determinants of Customer Perceived Value

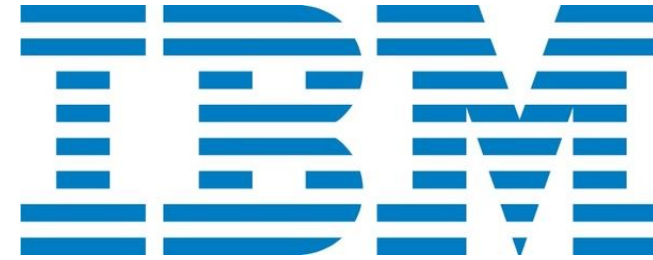


Customer satisfaction – IT industry



TATA CONSULTANCY SERVICES

Infosys



HCL

Cognizant

Tech
Mahindra

LTI

Let's Solve

ORACLE



**Clients
do not come first.
Employees
come first.**

**If you take care of
your employees,
they will take care
of the clients.**

Richard Branson



INFLUENCIVE

Your employees are your company's
real competitive advantage. They're
the ones making the magic happen-
so long as their needs are being met.



SEGMENTATION

01



TARGETING

02



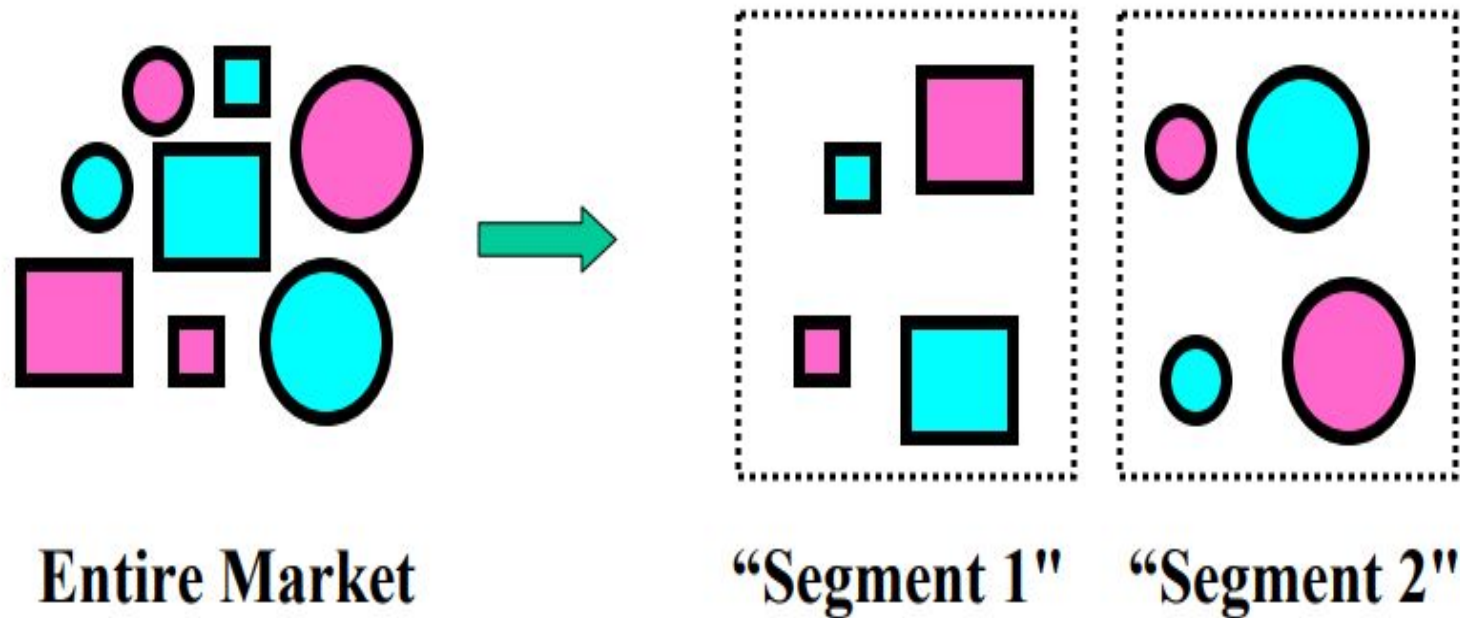
POSITIONING

03

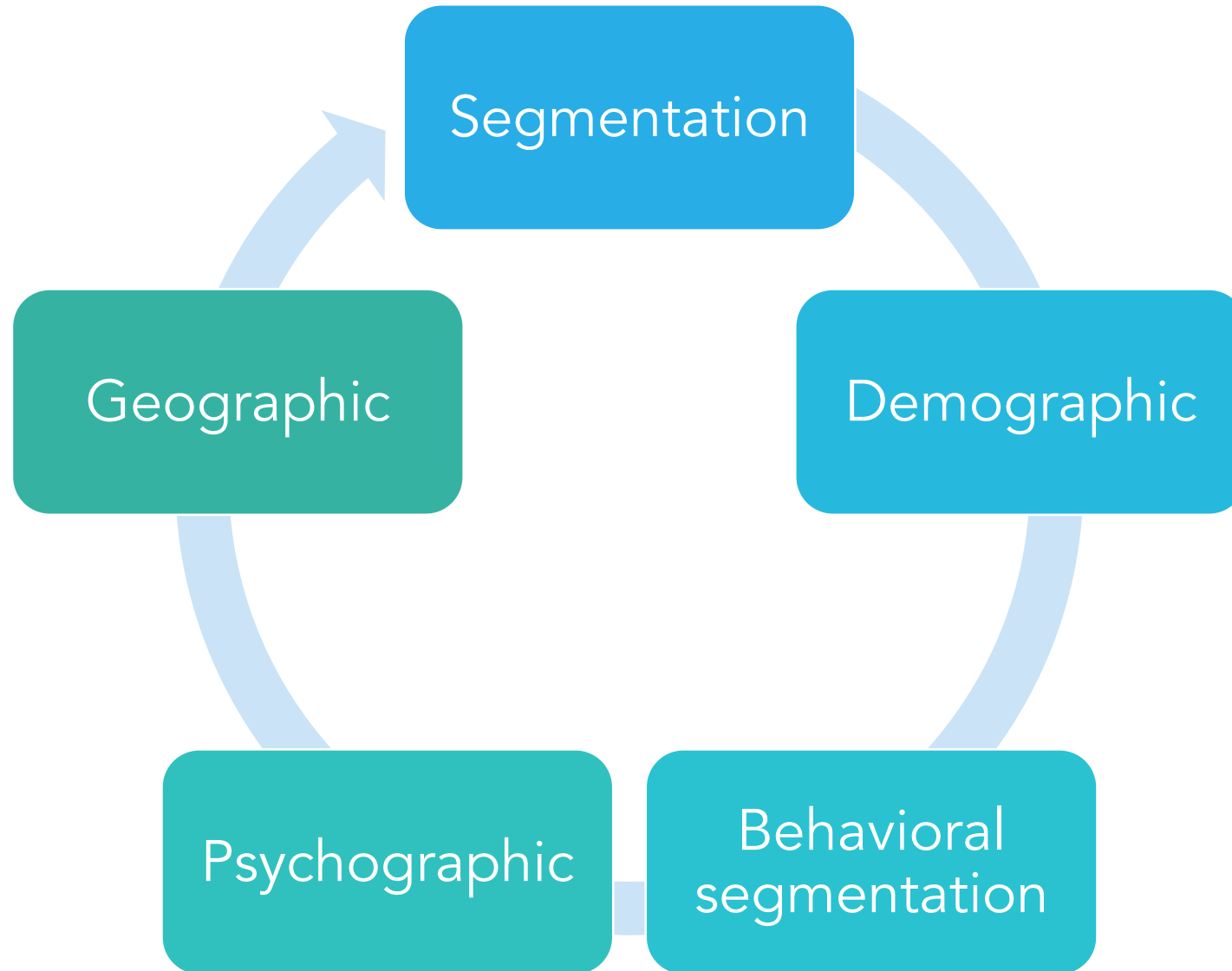


Segmentation

- **Segmentation** = grouping consumers by some criteria, such that those within a group will respond similarly to a marketing action and those in a different group will respond differently.



Segmentation



Major Segmentation Variables for Consumer Markets

- + Geographic area
- + Density
- + Climate
- + Demographic Age
- + Family size
- + Family life cycle
- + Gender
- + Income
- + Occupation
- + Education
- + Religion
- + Race
- + Nationality
- + Lifestyle
- + Class
- + Personality
- + User status
- + Attitude

Demographic segmentation

BABY BOOMERS

(1946-1960)



Generation X

(1961-1980)



Generation Y

(1981-1995)



GENERATION Z

(Born after 1995)



Psychographic Segmentation

- + Psychographics is the science of using psychology and demographics to better understand consumers. In psychographic segmentation, buyers are divided into groups on the basis of psychological/personality traits, lifestyle, or values. People within the same demographic group can exhibit very different psychographic profiles.



Behavioral Segmentation

- + Marketers divide buyers into groups on the basis of their knowledge of, attitude toward, use of, or response to a product

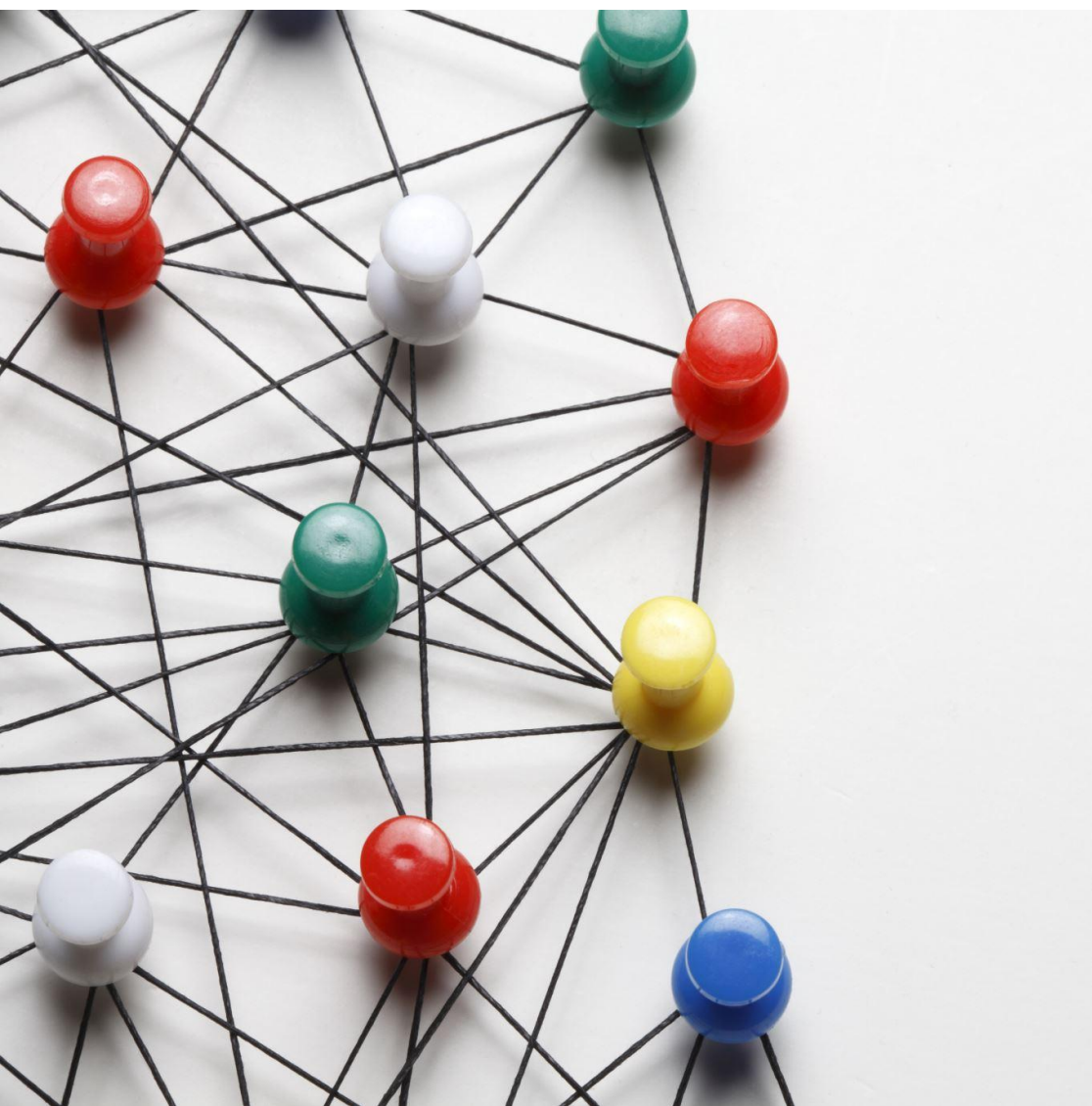




Behavioral Segmentation

- ✓ Needs and benefits
- ✓ Decision roles
 - ✓ Initiator
 - ✓ Influencer
 - ✓ Decider
 - ✓ Buyer
 - ✓ User

- + 1. Initiators—Users or others in the organization who request that something be purchased.
- + 2. Users—Those who will use the product or service. In many cases, the users initiate the buying proposal and help define the product requirements.
- + 3. Influencers—People who influence the buying decision, often by helping define specifications and providing information for evaluating alternatives. Technical people are particularly important influencers.
- + 4. Deciders—People who decide on product requirements or on suppliers.
- + 5. Approvers—People who authorize the proposed actions of deciders or buyers.
- + 6. Buyers—People who have formal authority to select the supplier and arrange the purchase terms. Buyers may help shape product specifications, but they play their major role in selecting vendors and negotiating. In more complex purchases, buyers might include high-level managers.
- + 7. Gatekeepers—People who have the power to prevent sellers or information from reaching members of the buying center. For example, purchasing agents, receptionists, and telephone operators may prevent salespersons from contacting users or deciders.



Geographic segmentation

- + Geographic segmentation is a marketing strategy used to target products or services at people who live in, or shop at, a particular location.

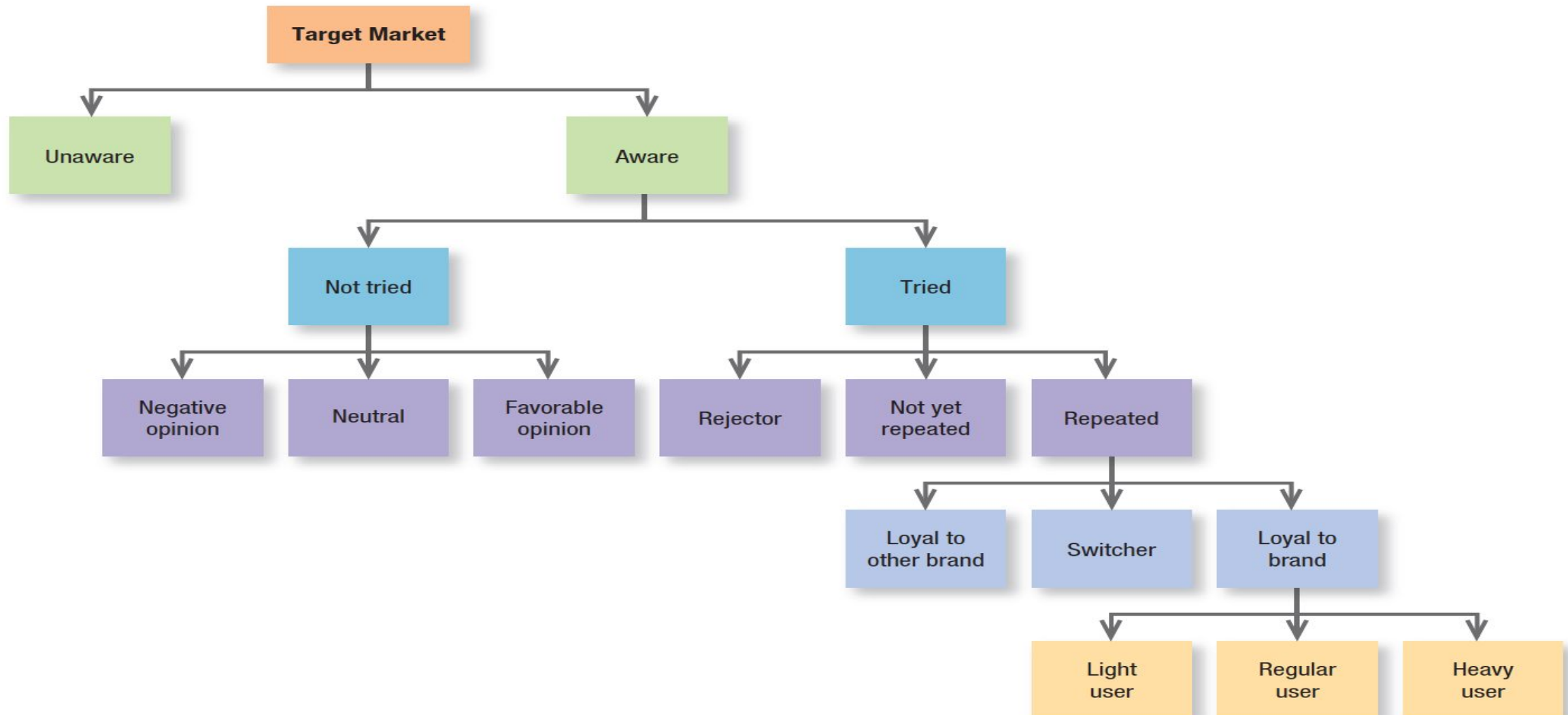


Loyalty Status

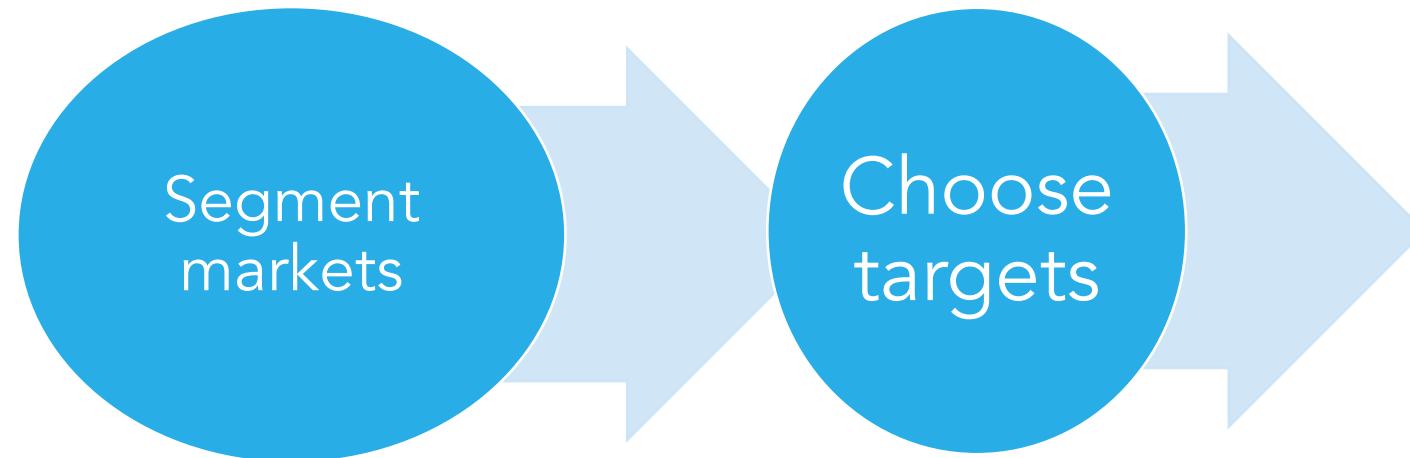
Marketers usually envision four groups based on brand loyalty status:

- 1. Hard-core loyals—Consumers who buy only one brand all the time*
- 2. Split loyals—Consumers who are loyal to two or three brands*
- 3. Shifting loyals—Consumers who shift loyalty from one brand to another*
- 4. Switchers—Consumers who show no loyalty to any brands*

Behavioral Segmentation Breakdown



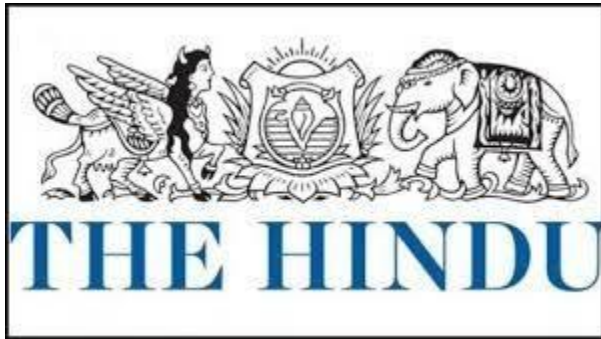
Targeting



<https://www.youtube.com/watch?v=ErbH7dT8prk>

<https://www.youtube.com/watch?v=xmXPBp7DpQw>

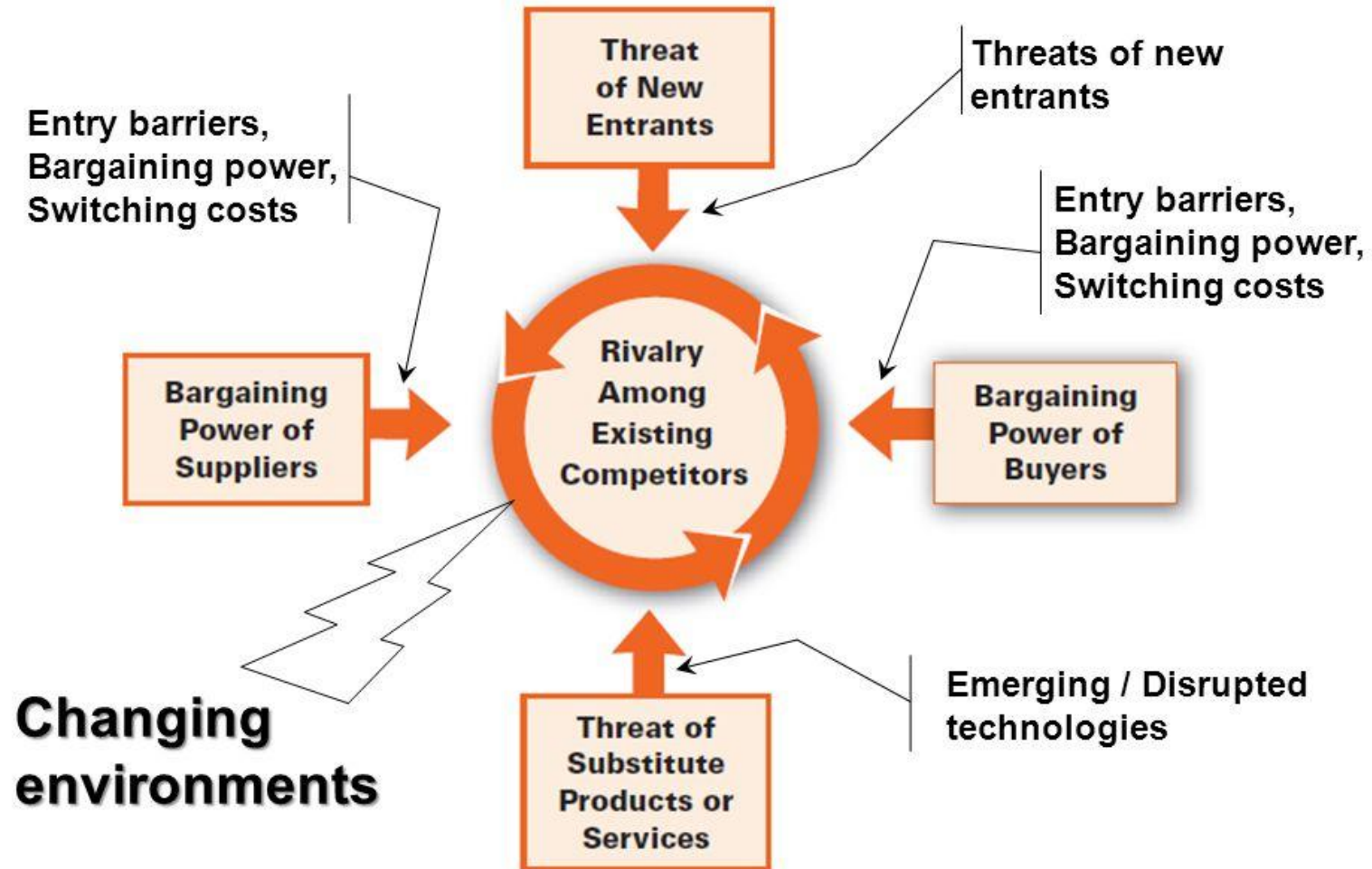
Positioning



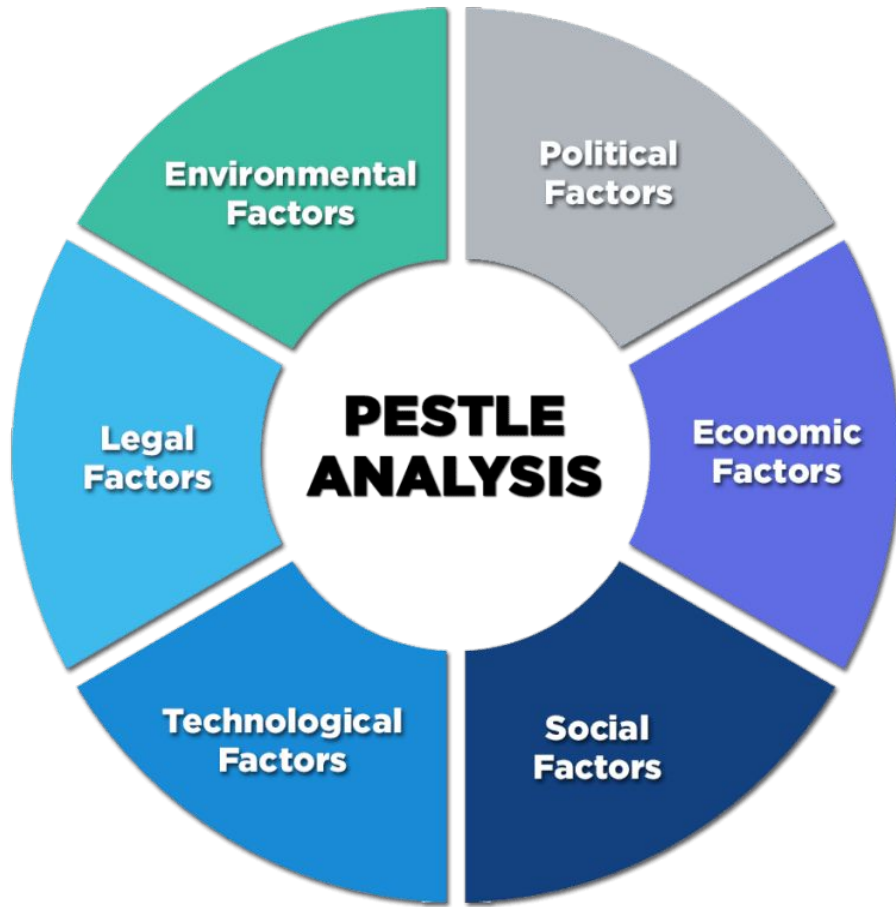
- ✓ *The act of designing a company's offering and image to occupy a distinctive place in the minds of the target market*
- ✓ *Value proposition*



The Five Force That Shape Industry Competition



External environment analysis



THANK U